

ratvalue

User Manual

Damodaran Valuation Framework in C++23

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Abstract

ratvalue is a C++23 library implementing Aswath Damodaran's complete valuation framework, from earnings normalization to specialized models for startups, distressed firms, and financial institutions. The project is built on top of **ratmoney**, which provides exact rational monetary arithmetic (`int64_t` + GCD over `__int128`).

This manual covers:

- Theoretical foundations of each valuation model;
- Complete C++23 API specification;
- Verifiable numerical examples;
- Real-world case study with Petrobras (PETR4) and Itaú Unibanco (ITUB4).

Prerequisites: familiarity with C++17+, basic linear algebra, and corporate finance at the undergraduate level.

Chapter 1

Introduction

1.1 Motivation

Valuation models are the analytical core of every capital allocation decision. Damodaran’s framework, developed over three decades in *Investment Valuation* (3rd ed., 2012) and *The Dark Side of Valuation* (3rd ed., 2018), is the most rigorous and comprehensive reference available.

Existing implementations focus on Python or spreadsheets, which have two significant shortcomings for serious quantitative analysis:

1. **Numerical precision:** `float64` cannot represent decimal fractions exactly. Errors accumulate across chained calculations.
2. **Performance:** Python has the GIL and boxing overhead; spreadsheets are neither version-controlled nor auditable as code.

`ratvalue` addresses both: exact monetary arithmetic via `ratmoney`, and compiled C++ performance with `-O2`.

1.2 Scope

Table [1.1](#) lists all implemented modules.

1.3 Dependencies and Build

Dependencies:

- `ratmoney` $\geq$ 0.1 (installed in `/usr/local`)
- GCC $\geq$ 13 or Clang $\geq$ 17 (C++23)
- CMake $\geq$ 3.20
- GTest (for the test suite)

Listing 1.1: Build and test

```
cmake -S . -B build -DCMAKE_BUILD_TYPE=Release
cmake --build build -j$(nproc)
ctest --test-dir build --output-on-failure
```

Table 1.1: ratvalue modules

File	Category	Contents
normalize	Data	EBIT normalization (historical / margin)
capm	Cost of capital	CAPM with CRP (emerging markets)
beta	Cost of capital	Hamada equation; bottom-up beta
kd	Cost of capital	Synthetic K_d via ICR $\rightarrow$ rating
wacc	Cost of capital	WACC
capital_structure	Structure	Optimal capital structure
fcff	Cash flows	FCFF; multi-stage projection
fcfe	Cash flows	FCFE; equity DCF
growth	Growth	ROIC, reinvestment rate, fundamental growth
dcf	Valuation	DCF (FCFF $\rightarrow$ WACC $\rightarrow$ EV)
ddm	Valuation	Multi-stage DDM; H-Model
terminal	Valuation	Consistent TV; TV by multiple
apv	Valuation	APV (MM and Miles-Ezzell)
excess_returns	Analysis	EVA / Excess Returns
relative	Analysis	Justified P/E, P/BV, EV/EBITDA
startup	Specialized	Scenario-based valuation
distress	Specialized	Equity as an option (Merton)
bank	Specialized	FCFE for banks (regulatory capital)

Chapter 2

Infrastructure: ratmoney and Internal Types

2.1 ratmoney: Exact Monetary Arithmetic

Every monetary unit in `ratvalue` is represented by the type `ratmoney::Currency`, which stores:

- `units`: count in the smallest denomination (*cents*, for BRL and USD with `precision=2`);
- `rate`: the value of 1 unit of this currency in units of an implicit base currency (type `Rational`);
- `description`: name, symbol, and decimal precision.

The type `ratmoney::Rational` represents a rational number p/q in canonical form: $q > 0$, $\gcd(|p|, q) = 1$. All arithmetic uses `__int128` as an intermediate, eliminating silent overflow.

Listing 2.1: Creating currency values in `ratvalue`

```
1 ratmoney::CurrencyDescription BRL{"BRL", "R$", 2};
2 ratmoney::Rational UNIT_RATE{1, 1};
3
4 // BRL 1 billion = 1e11 cents
5 Currency B(int64_t billions) {
6     return Currency{billions * 100'000'000'000LL, UNIT_RATE, BRL};
7 }
8
9 Currency ebit = B(145);    // BRL 145 billion
```

Warning

Currency identity is determined by `CurrencyDescription`. Two `Currency` objects can only be added or compared if they share the *same description*. The `rate` field is for *currency conversion*, not for denomination identification. `ratvalue` validates currency consistency in all relevant functions and returns `ValuationError::CurrencyMismatch` on violation.

2.2 types.h: Errors and Projection

Listing 2.2: Core types in ratvalue

```

1 enum class ValuationError {
2     InvalidInput,      // invalid input (negative, zero where
                        // prohibited...)
3     WACCLEGrowth,      // WACC <= g: Gordon denominator would be <= 0
4     Overflow,          // arithmetic overflow in Rational
5     MoneyError,        // CurrencyError from ratmoney
6     CurrencyMismatch,  // monetary inputs in different denominations
7 };
8
9 struct ProjectionStage {
10     ratmoney::Rational growth_rate;
11     int periods;       // years in this stage
12 };

```

All ratvalue functions return `std::expected<T, ValuationError>`, forcing explicit error handling at compile time.

2.3 detail.h: Internal Rational Arithmetic

The internal header `detail.h` exposes helpers implementing $+$, $-$, $\times$, $\div$ over `Rational` with `__int128` intermediates:

```

1 namespace ratvalue::detail {
2     expected<Rational, ValuationError> r_add(Rational a, Rational b);
3     expected<Rational, ValuationError> r_sub(Rational a, Rational b);
4     expected<Rational, ValuationError> r_mul(Rational a, Rational b);
5     expected<Rational, ValuationError> r_div(Rational a, Rational b);
6     expected<Rational, ValuationError> one_plus(Rational r); // 1 + r
7     expected<Rational, ValuationError> make_rational(__int128 n,
8         __int128 d);
9
10    bool    same_currency(const Currency& a, const Currency& b);
11    double  to_double(const Currency& c);    // major units (e.g.,
12        reais)
13    expected<Currency, ValuationError>
14        make_currency_from_double(double v, Rational rate,
15            const CurrencyDescription& desc);
16 }

```

Warning

`detail.h` is an *internal* header and is not installed. Client code must not include it directly.

Chapter 3

Earnings Normalization

3.1 Theory

Cyclical firms (oil, mining, steel, agriculture) exhibit volatile EBIT that distorts any DCF based on the most recent year. Damodaran (ch. 8) recommends normalizing before estimating value, using one of two approaches:

Historical average Computes the arithmetic mean of EBIT over the last N years ($N \geq 2$), capturing the “mid-cycle EBIT”:

$$EBIT_{\text{norm}} = \frac{1}{N} \sum_{i=1}^N EBIT_i$$

Normalized margin Applies a historical (or sector-level) operating margin to current revenues. Useful when revenues are stable but margins fluctuate:

$$EBIT_{\text{norm}} = \text{Current Revenue} \times \text{Normalized Margin}$$

3.2 API

```
1 enum class NormalizationMethod {
2     HistoricalAverage, // method 1
3     NormalizedMargin, // method 2
4 };
5
6 struct NormalizationInputs {
7     NormalizationMethod method;
8     std::vector<ratmoney::Currency> historical_ebit; // >= 2 for
9     // Average
10    ratmoney::Currency current_revenue; // for Margin
11    ratmoney::Rational normalized_margin; // for Margin
12 };
13
14 expected<Currency, ValuationError>
15 normalize_ebit(const NormalizationInputs& inputs);
```

Example: Petrobras — historical cycle average

```
auto result = normalize_ebit(NormalizationInputs{
    .method = NormalizationMethod::HistoricalAverage,
    .historical_ebit = {B(80), B(95), B(145), B(165), B(145)},
    // EBIT 2019-2023 in BRL billions
    .current_revenue = B(500), // not used in this method
    .normalized_margin = {0, 1},
});
// result->units() / 1e11 = BRL 126B (average)
```

3.3 Remarks

The arithmetic uses accumulated `Currency::add` followed by `Currency::scale` with factor $\{1, N\}$. Rounding is *HalfEven* (banker's rounding), so the exact sum is preserved and the rounding error is at most 1 cent.

Chapter 4

Cost of Capital

4.1 CAPM with Country Risk Premium

4.1.1 Model

For emerging markets, Damodaran (*Investment Valuation*, ch. 7) extends the CAPM by adding a country risk premium weighted by the firm's exposure λ :

$$K_e = R_f + \beta \cdot \text{ERP}_{\text{mature}} + \lambda \cdot \text{CRP} \quad (4.1)$$

Where:

- R_f : global risk-free rate (US 10Y T-Bond, stripped of any differential inflation component if necessary);
- $\text{ERP}_{\text{mature}}$: equity risk premium of the reference market (typically the US; Damodaran publishes annual estimates);
- CRP: country risk premium, computed as the sovereign spread $\times (\sigma_{\text{equity}}/\sigma_{\text{bond}})$;
- λ : firm's exposure to country risk. $\lambda = 1$ for firms with entirely domestic revenues; $\lambda < 1$ for exporters or multinationals.

Definition: Country Risk Premium (CRP)

$$\text{CRP} = \text{Sovereign spread} \times \frac{\sigma_{\text{equity, emerging market}}}{\sigma_{\text{sovereign bond}}}$$

For Brazil in 2024: EMBI+ spread $\approx 2\%$; volatility ratio ≈ 1.5 ; CRP $\approx 3\%$.

4.1.2 API

```
1 struct CAPMInputs {
2     Rational risk_free_rate;
3     Rational beta;
4     Rational equity_risk_premium;           // ERP of mature
        market
5     Rational country_risk_premium{0, 1};    // CRP (default: 0)
6     Rational lambda{1, 1};                 // country exposure (
        default: 1)
```

```

7  };
8
9  expected<Rational, ValuationError>
10 cost_of_equity(const CAPMInputs& inputs);

```

All computation uses exact rational arithmetic. For $R_f = 5\% = \frac{1}{20}$, $\beta = 1.30 = \frac{13}{10}$, $\text{ERP} = 7\% = \frac{7}{100}$, $\text{CRP} = 3\% = \frac{3}{100}$, $\lambda = 1$:

$$K_e = \frac{1}{20} + \frac{13}{10} \cdot \frac{7}{100} + 1 \cdot \frac{3}{100} = \frac{50}{1000} + \frac{91}{1000} + \frac{30}{1000} = \frac{171}{1000} = 17.1\%$$

4.2 Beta: Hamada and Bottom-Up

4.2.1 Hamada Equation

Financial leverage amplifies systematic risk:

$$\beta_L = \beta_U \cdot \left[1 + (1 - t) \cdot \frac{D}{E} \right] \quad (4.2)$$

Inversely:

$$\beta_U = \frac{\beta_L}{1 + (1 - t) \cdot D/E} \quad (4.3)$$

4.2.2 Bottom-Up Beta

Historical beta (return regression) is noisy and reflects the past capital structure. Damodaran recommends the *bottom-up beta* approach:

1. Collect β_L from n comparable firms in the same sector;
2. Unlever each comparable via eq. (4.3);
3. Compute the average: $\bar{\beta}_U = n^{-1} \sum_i \beta_{U,i}$;
4. Re-lever to the target capital structure via eq. (4.2).

4.2.3 API

```

1  // Lever beta
2  expected<Rational, ValuationError>
3  lever_beta(Rational unlevered_beta, Rational debt_to_equity, Rational
4             tax_rate);
5
6  // Unlever beta
7  expected<Rational, ValuationError>
8  unlever_beta(Rational levered_beta, Rational debt_to_equity, Rational
9              tax_rate);
10
11 struct BottomUpBetaInputs {
12     vector<Rational> comparable_levered_betas;
13     vector<Rational> comparable_debt_to_equity;
14     Rational         comparable_tax_rate;
15     Rational         target_debt_to_equity;
16     Rational         target_tax_rate;

```

```

15 } ;
16
17 expected<Rational, ValuationError>
18 bottom_up_beta(const BottomUpBetaInputs& inputs);

```

Warning

The average of β_U inside `bottom_up_beta` is computed in `double`, as market betas are statistical estimates without exact precision. The final re-levered result is returned as `Rational` with 4 decimal places.

4.3 Synthetic Cost of Debt

4.3.1 Methodology

Firms without traded bonds have no observable K_d . Damodaran proposes estimating it from the *interest coverage ratio* (ICR):

$$\text{ICR} = \frac{\text{EBIT}}{\text{Interest Expense}} \longrightarrow \text{synthetic rating} \longrightarrow K_d = R_f + \text{spread}(\text{rating})$$

The $\text{ICR} \rightarrow \text{rating}$ table is published annually at <https://pages.stern.nyu.edu/~adamodar/>. `ratvalue` implements the 2023 tables for *large cap* and *small cap* (tighter thresholds for smaller firms).

4.3.2 Summary Table (Large Cap)

Table 4.1: $\text{ICR} \rightarrow \text{Rating} \rightarrow \text{Spread}$ (large cap, Damodaran 2023)

Min. ICR	Rating	Spread (bps)
> 8.50	Aaa/AAA	63
6.50	Aa2/AA	78
5.50	A1/A+	98
4.25	A2/A	108
3.00	A3/A−	122
2.50	Baa2/BBB	156
2.25	Ba1/BB+	200
2.00	Ba2/BB	240
1.75	B1/B+	350
1.50	B2/B	375
1.25	B3/B−	500
0.80	Caa/CCC	600
0.65	Ca2/CC	700
0.20	C2/C	800
< 0.20	D2/D	1200

4.3.3 API

```

1  enum class CreditRating : uint8_t {
2      AAA, AA, A_plus, A, A_minus, BBB, BB_plus, BB,
3      B_plus, B, B_minus, CCC, CC, C, D
4  };
5
6  struct SyntheticKdInputs {
7      Currency ebit;
8      Currency interest_expense;
9      Rational risk_free_rate;
10     bool      large_firm{true};
11 };
12
13 struct SyntheticKdResult {
14     Rational    cost_of_debt;          // Kd = Rf + spread (exact
15         Rational)
16     Rational    default_spread;
17     CreditRating rating;
18     double      interest_coverage;
19 };
20
21 expected<SyntheticKdResult, ValuationError>
22 synthetic_cost_of_debt(const SyntheticKdInputs& inputs);
23
24 // direct version (for internal optimizer)
25 expected<SyntheticKdResult, ValuationError>
26 synthetic_cost_of_debt_from_icr(double icr, Rational rf, bool
27     large_firm);

```

4.4 WACC

4.4.1 Formula

$$\text{WACC} = \frac{E}{V}K_e + \frac{D}{V}K_d(1 - t) \quad (4.4)$$

Where $V = E + D$.

4.4.2 API

```

1  struct WACCInputs {
2      Rational equity_weight;    // E/V
3      Rational debt_weight;     // D/V
4      Rational cost_of_equity;   // Ke
5      Rational cost_of_debt;    // Kd
6      Rational tax_rate;        // t
7  };
8
9  expected<Rational, ValuationError>
10 compute_wacc(const WACCInputs& inputs);

```

All arithmetic is exact rational. For the Petrobras example parameters: $E_w = 2/3$, $K_e = 4629/40000$, $D_w = 1/3$, $K_d = 578/10000$, $t = 17/50$:

$$\text{WACC} = \frac{2}{3} \cdot \frac{4629}{40000} + \frac{1}{3} \cdot \frac{578}{10000} \cdot \frac{33}{50} = \frac{44933}{500000} \approx 8.99\%$$

Chapter 5

Free Cash Flow

5.1 FCFF — Free Cash Flow to Firm

5.1.1 Formula

$$\text{FCFF} = \text{EBIT}(1 - t) + D\&A - \text{CapEx} - \Delta NWC \quad (5.1)$$

Where ΔNWC is the change in non-cash working capital.

5.1.2 API

```
1 struct FCFFInputs {
2     Currency ebit;
3     Rational tax_rate;
4     Currency depreciation_amortization;
5     Currency capex;
6     Currency delta_nwc;
7 };
8
9 expected<Currency, ValuationError>
10 compute_fcff(const FCFFInputs& inputs);
11
12 struct FCFFProjection {
13     Currency base_fcff;
14     std::vector<ProjectionStage> stages;
15 };
16
17 // Returns [FCFF_1, FCFF_2, ..., FCFF_N] (base not included)
18 expected<std::vector<Currency>, ValuationError>
19 project_fcff(const FCFFProjection& proj);
```

The projection is exact: each period applies `Currency::scale` with the factor $(1 + g)$ represented as `Rational`.

5.2 FCFE — Free Cash Flow to Equity

5.2.1 Formula

$$\text{FCFE} = NI - (1 - \delta)(\text{CapEx} - D\&A + \Delta NWC) + \Delta D \quad (5.2)$$

Where $\delta = D/(D + E)$ is the debt ratio. The interpretation: equity holders finance only the $(1 - \delta)$ share of net reinvestment; the rest is covered by new borrowing.

5.2.2 Conceptual Difference: FCFF vs. FCFE

Table 5.1: FCFF vs. FCFE comparison

Dimension	FCFF	FCFE
Base	EBIT (pre-interest)	Net Income (post-interest)
Discount rate	WACC	K_e
Output	Enterprise Value	Equity Value (direct)
Leverage	Captured in WACC	Captured in FCFE

Warning

FCFF and FCFE yield the same equity value when inputs are consistent (same implicit capital structure). Discrepancies signal inconsistent assumptions, not code errors.

5.2.3 API

```

1 struct FCFEInputs {
2     Currency net_income;
3     Rational debt_ratio;           // delta = D/(D+E)
4     Currency capex;
5     Currency depreciation_amortization;
6     Currency delta_nwc;
7     Currency net_new_debt;        // may be negative
8 };
9
10 expected<Currency, ValuationError>
11 compute_fcfe(const FCFEInputs& inputs);
12
13 struct FCFEDCFInputs {
14     std::vector<Currency> projected_fcfe;
15     Rational cost_of_equity;
16     Rational terminal_growth;
17     int64_t shares_outstanding;
18 };
19
20 struct FCFEDCFResult {
21     Currency equity_value;
22     Currency equity_value_per_share;
23     Currency pv_fcfe;
24     Currency terminal_value;
25     Currency pv_terminal_value;
26 };
27
28 expected<FCFEDCFResult, ValuationError>
29 compute_fcfe_dcf(const FCFEDCFInputs& inputs);

```

5.3 Fundamental Growth

5.3.1 Theory

Damodaran insists that growth assumptions must be *anchored* in fundamentals. “Free” growth (without reinvestment) is a common error that artificially inflates value.

$$g_{\text{firm}} = \text{ROIC} \times \text{RR} \quad (5.3)$$

$$g_{\text{equity}} = \text{ROE} \times (1 - \text{payout}) \quad (5.4)$$

Where:

$$\text{ROIC} = \frac{\text{NOPAT}}{\text{IC}} \quad \text{RR} = \frac{\text{CapEx} - D\&A + \Delta\text{NWC}}{\text{NOPAT}}$$

5.3.2 API

```

1 // ROIC = NOPAT / Invested Capital
2 struct ROICInputs { Currency nopat; Currency invested_capital; };
3 expected<Rational, ValuationError> compute_roic(const ROICInputs&);
4
5 // RR = (CapEx - DA + dNWC) / NOPAT
6 struct ReinvestmentRateInputs {
7     Currency capex, depreciation_amortization, delta_nwc, nopat;
8 };
9 expected<Rational, ValuationError>
10 compute_reinvestment_rate(const ReinvestmentRateInputs&);
11
12 // g = ROIC x RR
13 expected<Rational, ValuationError>
14 fundamental_growth_firm(Rational roic, Rational reinvestment_rate);
15
16 // g = ROE x retention
17 expected<Rational, ValuationError>
18 fundamental_growth_equity(Rational roe, Rational retention_ratio);

```

Chapter 6

Discounted Cash Flow

6.1 Standard Model: FCFF and WACC

6.1.1 Two-Stage Structure

Damodaran's standard DCF divides the horizon into two stages:

1. **Explicit period** ($t = 1, \dots, N$): projected FCFFs discounted individually.
2. **Stable perpetuity** ($t > N$): terminal value (TV) computed via the Gordon Growth Model.

$$EV = \sum_{t=1}^N \frac{FCFF_t}{(1 + WACC)^t} + \frac{TV_N}{(1 + WACC)^N} \quad (6.1)$$

$$TV_N = \frac{FCFF_N \cdot (1 + g)}{(WACC - g)} \quad (6.2)$$

$$\text{Equity} = EV - \text{Net Debt} \quad (6.3)$$

$$P_{\text{share}} = \frac{\text{Equity}}{n_{\text{shares}}} \quad (6.4)$$

6.1.2 Implementation: double for Discounting, Rational for TV

Warning

The discount factor $(1+r)^{-t}$ is irrational for $t > 1$ in most cases. `ratvalue` uses **double** *only* for exponentiation; all other operations are exact rationals. In particular, the TV multiplier is an exact **Rational**:

$$TV_{\text{mul}} = \frac{(1 + g)/g_{\text{den}}}{(WACC - g)} = \frac{(g_{\text{den}} + g_{\text{num}}) \cdot WACC_{\text{den}}}{WACC_{\text{num}} \cdot g_{\text{den}} - g_{\text{num}} \cdot WACC_{\text{den}}}$$

6.1.3 API

```

1 struct DCFInputs {
2     std::vector<Currency> projected_fcff;
3     Rational wacc;
4     Rational terminal_growth;
5     Currency net_debt;
6     int64_t shares_outstanding;
7 };
8
9 struct DCFResult {
10    Currency enterprise_value;
11    Currency equity_value;
12    Currency equity_value_per_share;
13    Currency pv_fcff;
14    Currency terminal_value; // TV not yet discounted (exact
15    Rational);
16    Currency pv_terminal_value;
17 };
18 expected<DCFResult, ValuationError>
19 compute_dcf(const DCFInputs& inputs);

```

6.2 DDM — Dividend Discount Model

The DDM replaces FCFF with dividends and discounts at K_e :

```

1 struct DDMInputs {
2     Currency base_dividend_per_share;
3     std::vector<ProjectionStage> stages;
4     Rational cost_of_equity;
5     Rational stable_growth;
6 };
7
8 expected<DDMResult, ValuationError>
9 compute_ddm(const DDMInputs& inputs);

```

6.3 H-Model (Fuller & Hsia, 1984)

The H-Model is a closed-form solution for growth that *declines linearly* from g_H to g_L over $2H$ years:

$$P = \frac{D_0 \cdot [(1 + g_L) + H \cdot (g_H - g_L)]}{K_e - g_L} \quad (6.5)$$

The entire calculation is *exact* in rational arithmetic — no temporal discounting is involved.

```

1 struct HModelInputs {
2     Currency base_dividend;
3     Rational high_growth; // g_H
4     Rational stable_growth; // g_L
5     Rational half_life; // H in years (e.g., {5,1})
6     Rational cost_of_equity;
7 };
8

```

```
9 struct HModelResult {  
10     Currency intrinsic_value;  
11     Rational tv_multiplier;    // for auditing  
12 };  
13  
14 expected<HModelResult, ValuationError>  
15 compute_h_model(const HModelInputs& inputs);
```

Chapter 7

Terminal Value

7.1 Consistency with ROIC

7.1.1 The Problem with the Standard Gordon Model

The Gordon Growth TV implies a reinvestment rate:

$$RR_{\text{impl}} = \frac{g}{ROIC_{\text{stable}}}$$

If the analyst assumes $g = 3\%$ but $ROIC_{\text{stable}} = 8\%$, then $RR_{\text{impl}} = 37.5\%$. If the projected FCFFs used $RR = 30\%$, there is a discontinuity at the terminal stage that inflates the TV.

7.1.2 Consistent Terminal Value (Damodaran ch. 12)

$$TV = \frac{NOPAT_{\text{stable}} \cdot (1 - g/ROIC_{\text{stable}})}{WACC - g} \quad (7.1)$$

Uses the terminal-period NOPAT as the base, deriving the stable FCFF from the reinvestment rate consistent with the assumed ROIC.

7.1.3 Consistency Audit

```
1 struct TerminalConsistency {
2     Rational implied_reinvestment_rate; // g / ROIC_stable
3     Rational return_spread;           // ROIC_stable - WACC
4     bool value_creating;              // ROIC > WACC
5     bool reinvestment_feasible;       // 0 <= g/ROIC <= 1
6 };
7
8 TerminalConsistency check_terminal_consistency(
9     Rational wacc, Rational terminal_growth, Rational terminal_roic);
10
11 struct ConsistentTVInputs {
12     Currency stable_nopat;
13     Rational wacc;
14     Rational terminal_growth;
15     Rational terminal_roic;
16 };
17
```


Chapter 8

APV — Adjusted Present Value

8.1 Motivation

The APV explicitly separates the unlevered firm value from the tax shield benefit:

$$APV = V_U + PV(\text{Tax Shields}) \quad (8.1)$$

Where V_U is the unlevered firm value, obtained by discounting FCFFs at the unlevered cost of equity K_u :

$$K_u = R_f + \beta_U \cdot \text{ERP} + \lambda \cdot \text{CRP}$$

APV is preferred over WACC when the capital structure changes over time (LBOs, recapitalizations, projects with amortization schedules).

8.2 Modigliani-Miller (1963): Permanent Debt

For permanent debt and risk-free tax shields (discounted at R_f):

$$PV(\text{TS})_{\text{MM}} = t \cdot D \quad (8.2)$$

```
1 struct APVInputs {
2     std::vector<Currency> projected_fcff;
3     Rational             terminal_growth;
4     Rational             unlevered_cost_of_equity; // Ku
5     Currency             debt_market_value;      // D
6     Rational             tax_rate;               // t
7     Currency             net_debt;
8     int64_t              shares_outstanding;
9 };
10
11 expected<APVResult, ValuationError>
12 compute_apv(const APVInputs& inputs);
```

8.3 Miles-Ezzell (1980): Rebalanced Debt

When the firm maintains a constant D/V ratio (rebalanced each period), tax shields bear the risk of assets and must be discounted at K_u , except the first period (known with certainty):

$$PV(\text{TS})_{\text{ME}} = \frac{t \cdot K_d \cdot D \cdot (1 + K_u)}{(1 + K_d)(K_u - g)} \quad (8.3)$$

The **Miles-Ezzell multiplier** is computed in exact rational arithmetic via `detail::r_mul` and `detail::r_div`.

```

1 struct APVMilesEzzellInputs {
2     // ... all fields from APVInputs, plus:
3     Rational cost_of_debt;    // required for ME formula
4 };
5
6 expected<APVResult, ValuationError>
7 compute_apv_miles_ezzell(const APVMilesEzzellInputs& inputs);

```

Example: MM vs. ME comparison (Petrobras)

$D = \text{R\$}250\text{B}$, $t = 34\%$, $K_d = 5.78\%$, $K_u \approx 11.57\%$, $g = 1.5\%$:

$$PV(\text{TS})_{\text{MM}} = 0.34 \times 250 = \text{R\$}85\text{B}$$

$$PV(\text{TS})_{\text{ME}} = \frac{0.34 \times 0.0578 \times 250 \times 1.1157}{1.0578 \times 0.1007} \approx \text{R\$}51\text{B}$$

MM overstates the tax shield benefit by $\approx 40\%$ in this case.

Chapter 9

EVA and Excess Returns

9.1 Theoretical Background

The excess returns model (Damodaran, ch. 13) decomposes firm value into:

$$V = IC + PV(EVA) \quad (9.1)$$

Where $EVA_t = (ROIC_t - WACC) \times IC_t$ and IC_t grows with reinvestment. For the single-stage (Gordon) stable case:

$$V = IC \cdot \frac{ROIC - g}{WACC - g} \quad (9.2)$$

DCF equivalence: when inputs are consistent ($g = ROIC \times RR$ and $FCFF = NOPAT(1 - RR)$), equations (6.1) and (9.1) yield the same V . The EVA decomposition reveals *value of assets in place* vs. *value of future growth*.

9.2 Economic Interpretation

- $ROIC > WACC$: the firm creates value above its cost of capital; $PV(EVA) > 0$.
- $ROIC = WACC$: *neutral* growth; $V = IC$.
- $ROIC < WACC$: every dollar invested destroys value; $PV(EVA) < 0$.

9.3 API

```
1 struct SingleStageERInputs {
2     Currency invested_capital;
3     Rational roic;
4     Rational wacc;
5     Rational terminal_growth;
6 };
7
8 struct ExcessReturnsResult {
9     Currency firm_value;
10    Currency asset_value;           // = IC
11    Currency pv_excess_returns;    // PV(EVA)
12 };
```

```
13
14 expected<ExcessReturnsResult, ValuationError>
15 excess_returns_value(const SingleStageERInputs& inputs);
16
17 struct MultiStageERInputs {
18     Currency          base_invested_capital;
19     Rational          roic;
20     std::vector<ProjectionStage> stages;
21     Rational          wacc;
22     Rational          terminal_roic;
23     Rational          terminal_growth;
24 };
25
26 expected<ExcessReturnsResult, ValuationError>
27 excess_returns_multistage(const MultiStageERInputs& inputs);
```

Chapter 10

Justified Multiples

10.1 Background

Market multiples (P/E, P/BV, EV/EBITDA) are frequently interpreted without reference to fundamentals. Damodaran (ch. 17–20) derives the *justified multiple*: the value that would be correct given the firm’s growth, profitability, and cost of capital.

$$P/E = \frac{\text{payout}}{K_e - g_{\text{equity}}} \quad (10.1)$$

$$P/BV = \text{ROE} \times \frac{\text{payout}}{K_e - g_{\text{equity}}} \quad (10.2)$$

$$EV/EBITDA = \frac{(1 - t)(1 - \text{RR})}{\text{WACC} - g} \quad (10.3)$$

Where $g_{\text{equity}} = \text{ROE} \times (1 - \text{payout})$ and $\text{RR} = g/\text{ROIC}$ (firm reinvestment rate).

10.2 API

```
1 struct JustifiedMultiplesInputs {
2     Rational cost_of_equity;
3     Rational wacc;
4     Rational roe;
5     Rational payout_ratio;
6     Rational roic;
7     Rational tax_rate;
8 };
9
10 struct JustifiedMultiples {
11     Rational pe_ratio;
12     Rational pb_ratio;
13     Rational ev_ebitda;
14     Rational g_equity;
15     Rational implied_reinvestment;
16 };
17
18 expected<JustifiedMultiples, ValuationError>
19 compute_justified_multiples(const JustifiedMultiplesInputs& inputs);
```

Example: Petrobras — justified multiples (normalized ROE = 15%)

With $K_e = 11.57\%$, $WACC = 8.99\%$, $ROE_{\text{norm}} = 15\%$, payout = 60%, $ROIC = 16.63\%$, $t = 34\%$:

$$g = 15\% \times 40\% = 6\%$$

$$P/E = \frac{0.60}{0.1157 - 0.06} = 10.8\times \quad P/BV = 0.15 \times 10.8 = 1.6\times \quad EV/EBITDA = 14.1\times$$

Chapter 11

Optimal Capital Structure

11.1 Algorithm

The minimum cost of capital maximizes firm value. `ratvalue` sweeps debt ratios $d \in \{0/N, 1/N, \dots, (N-1)/N\}$ and for each point:

1. Computes $D/E = d/(1-d)$ as `Rational`;
2. Levers $\beta_U \rightarrow \beta_L$ via Hamada (eq. 4.2);
3. Computes K_e via CAPM (eq. 4.1);
4. Iterates K_d from the ICR:
 - (a) Interest = $D \times K_d$
 - (b) ICR = EBIT/Interest
 - (c) $K_d \leftarrow R_f + \text{spread}(\text{ICR})$
 - (d) Repeat until convergence ($< 10^{-9}$, typically 2–5 iterations)
5. Computes exact WACC as `Rational`.

The optimum is the point of minimum WACC.

11.2 API

```
1 struct OptimalCapitalStructureInputs {
2     Rational    unlevered_beta;
3     Rational    risk_free_rate;
4     Rational    equity_risk_premium;
5     Rational    country_risk_premium{0, 1};
6     Rational    lambda{1, 1};
7     Rational    tax_rate;
8     Currency    ebit;           // for ICR computation
9     Currency    firm_value;    // E+D (base for D = d * FV)
10    int          steps{10};
11    bool         large_firm{true};
12 };
13
14 struct CapitalStructurePoint {
```

```

15     Rational    debt_ratio;
16     Rational    levered_beta;
17     Rational    cost_of_equity;
18     Rational    cost_of_debt;
19     CreditRating rating;
20     double      interest_coverage;
21     Rational    wacc;
22 };
23
24 struct OptimalCapitalStructureResult {
25     std::vector<CapitalStructurePoint> schedule;
26     CapitalStructurePoint              optimal;
27 };
28
29 expected<OptimalCapitalStructureResult, ValuationError>
30 optimal_capital_structure(const OptimalCapitalStructureInputs& inputs
    );

```

Warning

The Damodaran ICR model captures only the *default cost via spread*. Indirect costs of financial distress (customer loss, suboptimal hiring, management distraction) are not modeled. For firms with high EBIT relative to firm value, the algorithm may indicate high leverage ratios that would be impractical in reality.

Chapter 12

Specialized Models

12.1 Scenario-Based Valuation: Startups and Transitioning Firms

12.1.1 Motivation

Young firms or those undergoing technological transitions have strongly asymmetric outcome distributions. A single “base case” DCF ignores this dispersion. Damodaran (*Dark Side*, ch. 10–12) recommends:

1. Define n scenarios (typically 3–5) with probabilities;
2. Compute the TV of each scenario: $TV_i = FCFF_i \cdot \text{mul}_i$;
3. Discount each TV to the present: $PV_i = TV_i / (1 + WACC_i)^T$;
4. Apply a survival probability:

$$EV_{\text{adjusted}} = \left[\sum_i P_i \cdot PV_i \right] \cdot P(\text{survive}) + V_{\text{failure}} \cdot [1 - P(\text{survive})] \quad (12.1)$$

12.1.2 API

```
1 struct ValuationScenario {
2     std::string name;
3     Rational    probability;
4     Currency    terminal_fcff;
5     Rational    terminal_growth;
6     Rational    wacc;
7     int         years_to_terminal;
8 };
9
10 struct StartupValuationInputs {
11     std::vector<ValuationScenario> scenarios;
12     Rational survival_probability;
13     Currency failure_value;
14     Currency net_debt;
15     int64_t  shares_outstanding;
16 };
```



```

17
18 expected<StartupValuationResult, ValuationError>
19 startup_valuation(const StartupValuationInputs& inputs);

```

Probabilities must sum to 1.0 (tolerance 10^{-6}); otherwise `InvalidInput` is returned.

12.2 Equity as an Option: Merton Model

12.2.1 Background

In firms with high debt, equity behaves as a *call option* on the firm's assets, with a strike equal to the face value of debt (Merton, 1974):

$$d_1 = \frac{\ln(V/D) + (r + \sigma_V^2/2)T}{\sigma_V \sqrt{T}} \quad (12.2)$$

$$d_2 = d_1 - \sigma_V \sqrt{T} \quad (12.3)$$

$$E = V \cdot \mathcal{N}(d_1) - D \cdot e^{-rT} \cdot \mathcal{N}(d_2) \quad (12.4)$$

The *risk-neutral* probability of default is $\mathcal{N}(-d_2)$. The distance to default d_2 is the primary indicator of financial health.

Warning

V and σ_V are firm asset parameters, *not directly observable*. The iterative estimation (solving $\{E, \sigma_E\}$ from the nonlinear system $E = \text{BS}(V, \sigma_V)$ and $\sigma_E E = \mathcal{N}(d_1) \sigma_V V$) is not implemented; the user provides V and σ_V directly.

12.2.2 API

```

1 struct EquityAsOptionInputs {
2     double firm_value;           // V
3     double debt_face_value;      // D
4     double asset_volatility;     // sigma_V
5     double risk_free_rate;       // r (continuous)
6     double debt_maturity;        // T in years
7 };
8
9 struct EquityAsOptionResult {
10     double equity_value;
11     double debt_market_value;
12     double probability_default;  // N(-d2)
13     double distance_to_default;  // d2
14     double d1;
15 };
16
17 EquityAsOptionResult               // no expected: always
18     defined
19 equity_as_option(const EquityAsOptionInputs& inputs) noexcept;

```

The normal CDF is implemented via: $\mathcal{N}(x) = \frac{1}{2} \text{erfc}(-x/\sqrt{2})$ (`std::erfc` from `<cmath>`).

12.3 FCFE for Financial Institutions

12.3.1 Why Banks Are Different

- Debt (deposits, certificates) is *raw material*, not a source of capex financing — computing FCFF or WACC makes no economic sense.
- Reinvestment is regulated: Basel III requires minimum capital against risk-weighted assets (RWA).
- The only relevant cost of capital is K_e .

12.3.2 Model

$$\text{FCFE}_{\text{bank}} = NI \times (1 - \text{RR}_{\text{equity}}) \quad (12.5)$$

$$\text{RR}_{\text{equity}} = \frac{\Delta \text{RWA} \times \text{target Tier1}}{NI}$$

12.3.3 API

```

1 struct BankFCFEInputs {
2     Currency net_income;
3     Rational equity_reinvestment_rate;
4 };
5
6 expected<Currency, ValuationError>
7 compute_bank_fcfe(const BankFCFEInputs& inputs);
8
9 struct RegulatoryCapitalInputs {
10     Currency net_income;
11     Currency current_rwa;
12     Currency projected_rwa;
13     Rational target_tier1_ratio;
14 };
15
16 expected<Rational, ValuationError>
17 bank_equity_reinvestment_rate(const RegulatoryCapitalInputs& inputs);

```

For a bank's DCF, use `compute_fcfe_dcf` with FCFEs generated by `compute_bank_fcfe`.

Chapter 13

Full Example: Petrobras and Itaú Unibanco

13.1 Data

Table 13.1: Petrobras S.A. — approximate 2023 data

Item	BRL billions	Code
Net revenue	500	B(500)
Historical EBIT 2019–2023	80, 95, 145, 165, 145	B(80) . . .
Normalized EBIT (average)	126	—
D&A	45	B(45)
CapEx	70	B(70)
ΔNWC	5	B(5)
Net Income	124	B(124)
Interest Expense	22	B(22)
Net Debt	250	B(250)
Invested Capital	500	B(500)
Shares outstanding	13 billion	13e9

13.2 Cost of Capital Parameters

- $R_f = 5\%$ (US 10Y T-Bond, *stripped*);
- $\text{ERP} = 5\%$ (US market, Damodaran 2024);
- $\text{CRP} = 3\%$ (Brazil, EMBI+ adjusted for volatility);
- $\lambda = 0.5$ (Petrobras: $\approx 50\%$ of revenues from exports);
- $\beta_U = 0.8$ (O&G sector, bottom-up from Shell, ExxonMobil, BP, Chevron, Equinor with $t_{\text{sector}} = 25\%$);
- $D/E = 250/500 = 0.5$; $t = 34\%$.

Cost of capital results: $\beta_L \approx 1.014$; $K_e \approx 11.57\%$; $\text{ICR} = 145/22 = 6.6\times \rightarrow \text{AA rating} \rightarrow K_d = 5.78\%$; $\text{WACC} \approx 8.99\%$ (exact rational: $44933/500000$).

13.3 Growth and FCFF

$$\text{FCFF}_0 = 126 \times 0.66 + 45 - 70 - 5 = \text{BRL } 53.2\text{B}$$

$$\text{ROIC} = 83.2/500 = 16.63\%$$

$$\text{RR} = 30/83.2 = 36.08\%$$

$$g_{\text{fund}} = 16.63\% \times 36.08\% = 6\%$$

The DCF uses $g_{\text{explicit}} = 3\%$ for 5 years and $g_{\text{terminal}} = 1.5\%$.

13.4 Summary of Results

Table 13.2: Model comparison — Petrobras (PETR4)

Model	Fair value	Module
DCF (FCFF, Gordon TV)	R\$39.88	dcf
FCFE (direct equity)	R\$85.72	fcfe
APV Modigliani-Miller	R\$31.13	apv
APV Miles-Ezzell	R\$28.55	apv
H-Model (dividends)	R\$54.11	ddm
Scenarios (energy trans.)	R\$24.42	startup
EVA / Excess Returns	R\$58.51	excess_returns
Market price (2024)	R\$38–42	—

Warning

The divergence across models is *expected and informative*:

- **FCFE** uses 2023 net income (R\$124B) without normalization — inflated by the high oil price cycle;
- **APV** does not embed the debt benefit into the growth rates, yielding a lower TV;
- The **scenario** model heavily penalizes accelerated decarbonization (20% probability of FCFF falling to R\$40B);
- **DCF/FCFF normalized** (R\$39.88) is the most consistent with the market price because it uses the mid-cycle average EBIT.

13.5 Itaú Unibanco (ITUB4)

The high $\text{RR}_{\text{equity}}$ reflects rapid growth in Brazilian credit: the bank must retain $\approx 56\%$ of earnings to support the regulatory expansion of its asset base.

Table 13.3: Itaú Unibanco — approximate 2023 data

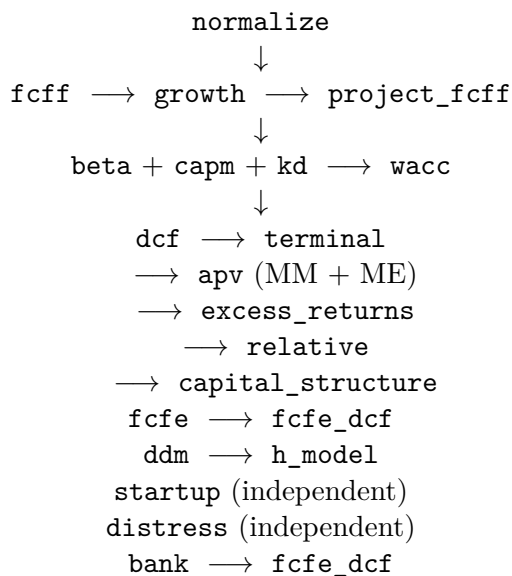
Item	Value
Net Income	R\$35B
Current RWA	R\$1,800B
Projected RWA	R\$1,944B (+8%)
Target Tier1	13.5%
Δ Regulatory capital	$R\$144B \times 13.5\% = R\$19.4B$
RR_{equity}	$R\$19.4B / R\$35B = 55.5\%$
$FCFE_{\text{bank}}$	$R\$35B \times 44.5\% = R\$15.6B$
Fair value (DCF)	R\$22.61/share

Chapter 14

Data Flow Between Modules

14.1 Overview

The diagram below illustrates the typical flow of a complete analysis:



14.2 Cross-Model Consistency

For FCFF-DCF and FCFE-DCF to yield the same share price:

1. $FCFE = FCFF - \text{Interest}(1 - t) + \Delta D$;
2. Both must use the same growth rate assumption;
3. ΔD must be consistent with the D/V ratio over time.

For APV and WACC-DCF to yield the same EV:

- WACC assumes constant leverage (adjusts WACC each period);
- APV assumes a predetermined debt schedule.
- In general, APV is more flexible; WACC is simpler for stable structures.

Appendix A

Rating and Spread Tables (Damodaran 2023)

Left: *large cap.* Right: *small cap.*

Table A.1: Large Cap and Small Cap

Rating	Min. ICR	Spread (bps)
Aaa/AAA	8.50	63
Aa2/AA	6.50	78
A1/A+	5.50	98
A2/A	4.25	108
A3/A-	3.00	122
Baa2/BBB	2.50	156
Ba1/BB+	2.25	200
Ba2/BB	2.00	240
B1/B+	1.75	350
B2/B	1.50	375
B3/B-	1.25	500
Caa/CCC	0.80	600
Ca2/CC	0.65	700
C2/C	0.20	800
D2/D	< 0.20	1200
Rating	Min. ICR	Spread (bps)
Aaa/AAA	12.50	63
Aa2/AA	9.50	78
A1/A+	7.50	98
A2/A	6.00	108
A3/A-	4.50	122
Baa2/BBB	4.00	156
Ba1/BB+	3.50	200
Ba2/BB	3.00	240
B1/B+	2.50	350
B2/B	2.00	375
B3/B-	1.50	500
Caa/CCC	1.25	600
Ca2/CC	0.80	700
C2/C	0.50	800
D2/D	< 0.50	1200

Appendix B

References and Further Reading

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